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14.7.1 Grouping of accounts

In any organisation, the main unit of classification is the major head which is further divided into minor heads. Each minor head may have number of sub-heads. After classification of accounts into various groups namely, major, minor and sub-heads and allotting codes to each account these are programmed into the computer system.

A proper codification requires a systematic grouping of accounts. The major groups or heads could be Assets, Liabilities, Revenues and Expenses. The sub-groups or minor heads could be capital, non-current liabilities, current assets, sales and so on.

In general, the basic classifications of different accounts embodied in a transaction are resorted through accounting equation.

Assets = Liabilities + Capital + (Revenues – Expenses)

Each component of the above equation can be divided into groups of accounts as follows:

A. Liabilities and capital

Capital

- Capital
- Reserves and surplus

Non-Current Liabilities

- Long-term borrowings
- Other long-term liabilities

Current liabilities

- Short term borrowings
- Trade payables
- Other current liabilities

B. Assets

Fixed tangible assets

- Land and building
- Plant and machinery
- Furniture and fixtures

Intangible assets

- Goodwill
- Copyright
- Patents

Current Assets

- Short term investments
- Inventories